

UNIT 1 · TOPIC 1.8

Travel Agencies and OTAs

From high-street desks to billion-dollar apps.

B.B.A. Aviation Management · Semester III · Unit 1: Overview of the Airline Industry
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar

**BOARDING PASS**

LEARNER

STU

PROFESSIONAL

**PRO**

FLIGHT

ATF 1.8

GATE

PERIOD 8

DURATION

00:40

SEAT

SEM III

CLASS

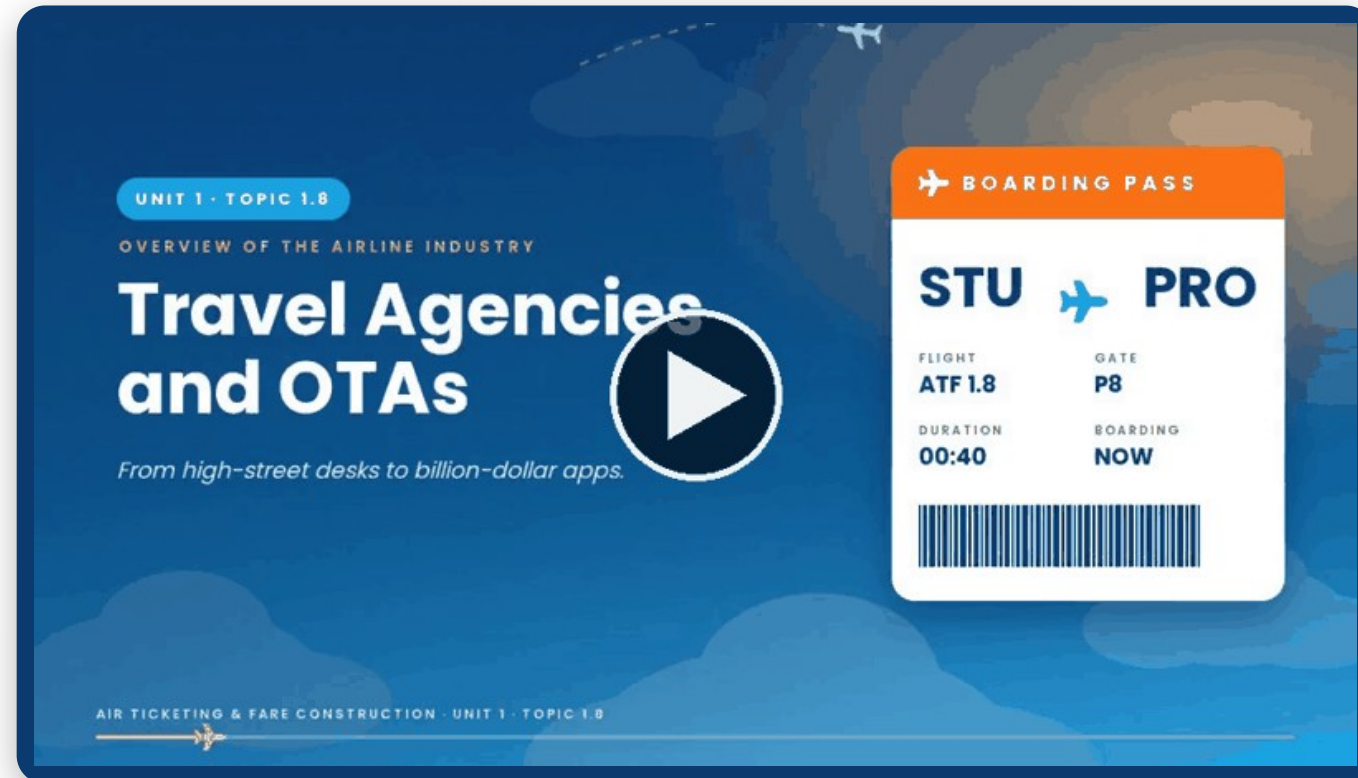
INQUIRY

BOARDING

NOW

TOPIC 1.8

In-Flight Movie: Topic Intro



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02

TOPIC 1.8

Pre-Flight Question



THINK ABOUT IT

If airlines have their own apps, why do millions still book through a travel agent or an OTA?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2-3 answers with the class



TOPIC 1.8

Today's Flight Plan

1

1.8.1

Role of travel agencies: traditional vs modern, agency functions

2

1.8.2

Online Travel Agencies (OTAs): definition, benefits and challenges

3

1.8.3

Popular OTAs: Expedia, Booking.com, Kayak

4

1.8.4

Commission-based model: how OTAs generate revenue

**BY LANDING, YOU WILL**

- Explain the functions of a travel agency
- Compare traditional agencies with OTAs
- Identify global and Indian OTA brands
- Describe how agencies and OTAs earn revenue

Pedagogy: Inquiry-Based Learning

TOPIC 1.8.1

What Does a Travel Agency Do?

An agent is the traveller's advisor and the airline's sales partner.

**Advise**

Suggest routes, fares, visas and insurance.

**Reserve & Ticket**

Book via GDS, issue tickets, collect payment.

**Package**

Combine flights, hotels, transfers and tours.

**After-sales**

Handle changes, refunds, disruptions and complaints.



TOPIC 1.8.1

Traditional vs Modern Agencies



Traditional Agency

- Physical office, face-to-face service
- Personal relationships and trust
- Strong for complex, group, corporate and pilgrim travel
- Limited hours and reach

VS



Modern / Hybrid Agency

- Online + phone + WhatsApp + office
- Uses GDS, NDC and B2B portals
- Specialises: corporate (TMC), luxury, student travel
- 24/7 digital support



TOPIC 1.8.2

What Is an OTA?

An Online Travel Agency sells travel through websites and apps — no counter needed.

**Benefits**

Compare prices instantly, book 24/7, reviews, bundles and offers.

**Challenges**

Limited personal help, refund delays, hidden fees, intense price competition.

**For airlines**

Wide reach — but they pay distribution costs and lose direct customer contact.

**INQUIRY QUESTION**

If airlines have their own apps, why do millions of people still book through OTAs? Find three reasons with evidence from app reviews or news.



TOPIC 1.8.2

OTA vs Metasearch vs Airline Direct

Three ways to buy the same seat.



OTA

Sells and issues the ticket itself.
You pay the OTA. E.g.,
MakeMyTrip, Expedia.



Metasearch

Compares prices, then sends
you to an OTA or airline to
book. E.g., Kayak, Skyscanner,
Google Flights.



Airline Direct

Buy on the airline's own
website or app — easiest for
changes and loyalty points.



TOPIC 1.8.3

Popular Global OTAs & Travel Brands



Expedia Group

US-based; brands include Expedia, Hotels.com and Vrbo. Strong in flights + hotel packages.



Booking.com

Part of Booking Holdings; famous for hotels, now also flights. Sister brands: Agoda, Priceline.



Kayak

A metasearch engine (also Booking Holdings) — compares fares and redirects to book.

TOPIC 1.8.3

OTAs in India

**MakeMyTrip**

India's largest OTA; group also owns Goibibo and redBus.

**Yatra & EaseMyTrip**

Major listed Indian OTAs focusing on flights and corporate travel.

**Cleartrip**

Owned by Flipkart; known for a simple booking flow.

**ixigo**

Began as a metasearch; strong in trains, flights and buses.



TOPIC 1.8.4

How OTAs Make Money

Airline base commissions are now small or zero — so revenue comes from many streams.



TOPIC 1.8.4

Commission Math: A Worked Example

Illustrative economics of one international booking.

₹40,000

ticket base fare

1%

airline commission = ₹400

₹300

customer convenience fee

₹900

insurance + hotel add-on
margin



Total OTA revenue ≈ ₹1,600 on this booking. Ancillaries often earn more than the flight itself!



TOPIC 1.8

Cabin Crew Activity: OTA Detective

**PEDAGOGY****Inquiry-Based Learning****TIME · 10 min****FORMAT · Groups of 3****1**

Pick one route and date; search it on an airline site, one OTA and one metasearch.

2

Record the final price including all fees at the payment page.

3

Note cancellation terms, add-ons offered and customer support options.

4

Report: where would you book, and why? Back it with evidence.



TOPIC 1.8*Click to reveal each answer*

Pre-Landing Check

Q1**Kayak is best described as a...**

- A) Full-service airline
- B) Metasearch engine
- C) GDS
- D) Regulator

ANSWER**B****Q2****Booking.com belongs to which group?**

- A) Expedia Group
- B) Booking Holdings
- C) Sabre
- D) MakeMyTrip

ANSWER**B****Q3****Which Indian OTA is owned by Flipkart?**

- A) Yatra
- B) Cleartrip
- C) ixigo
- D) EaseMyTrip

ANSWER**B****Q4****PLB in agency revenue stands for...**

- A) Price Level Booking
- B) Productivity-Linked Bonus
- C) Passenger Loyalty Benefit
- D) Pre-Loaded Balance

ANSWER**B**

SAFE LANDING

Key Takeaways

- ✓ Agencies advise, book, ticket and support travellers
- ✓ OTAs sell online 24/7; metasearch only compares
- ✓ Key brands: Expedia, Booking.com, Kayak; in India MakeMyTrip, Yatra, Cleartrip, ixigo
- ✓ Revenue = commissions, incentives, fees, ancillaries and ads

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT DEPARTURE

Topic 1.9 — Understanding Airline Schedules

Thank you · Questions?